

26STCP02675 26STCP02675

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCP02675 Hearing Date: September 28, 2026 Dept: 729

Superior

Court of California

County

of Los Angeles

DEPARTMENT 729

TENTATIVE

RULING

WATERLOO PAYS, LLC,

vs.

CERTAIN STATUTORILY DEFINED INTERESTED
PARTIES.

Case

No.: 26STCP02675

Hearing Date: September 28, 2026

Petitioner Waterloo Pays, LLC's unopposed
first amended petition for approval of transfer of structured settlement
payment rights is granted.

Petitioner

Waterloo Pays, LLC ("Waterloo") ("Petitioner")^[1]

petitions this Court to approve its First Amended Petition and enter an order in accordance with Insurance Code §10139.5, approving this transfer of structured settlement payment rights and ordering the Payment Obligor BrowerGreer PLC ("BrowerGreer") ("Payment Obligor" and "Payment Issuer"), seeking approval of the transfer of certain structured settlement payment rights by Payee Raymond Gutierrez ("Gutierrez") ("Payee") to Petitioner or its assignee. (Notice Hearing on First Amended Petition, pg. 2.)

Legal
Standard

Insurance Code §10137 provides, "[a] transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds the following conditions are met: (a) [t]he transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents [; and] (b) [t]he transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5." (Ins. Code §10137.) The transfer agreement is effective only upon approval in a final court order. (Ins. Code §10139.5(a).)

Insurance Code §10139.5(a) requires the court to make the following findings:

(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents.

(2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.

(3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and

10138.

(4) The transfer does not contravene any applicable statute or the order of any court or other government authority.

(5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

(6) The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

(Ins. Code §10139.5(a).)

In addition, pursuant to Insurance Code §10139.5(c):

Every petition for approval of a transfer of structured settlement payment rights, except as provided in subdivision (d), shall include, to the extent known after the transferee has made reasonable inquiry with the payee, all of the following:

(1) The payee's name, address, and age.

(2) The payee's marital status, and, if married or separated, the name of the payee's spouse.

(3) The names, ages, and place or places of residence of the payee's minor children or other dependents, if any.

(4) The amounts and sources of the payee's monthly income and financial resources and, if presently married, the amounts and sources of the monthly income and financial resources of the payee's spouse.

(5) Whether the payee is currently obligated under any child support or spousal support order, and, if so, the names, addresses, and telephone numbers of any individual, entity, or agency that is receiving

child or spousal support from the payee under that order or that has jurisdiction over the order or the payments in question.

(6) Information regarding previous transfers or attempted transfers, as described in paragraph (11), (12), or (13) of subdivision (b). The transferee or payee may choose to provide this information by providing copies of pleadings, transaction documents, or orders involving any previous attempted or completed transfer or by providing the court a summary of available information regarding any previous transfer or attempted transfer, such as the date of the transfer or attempted transfer, the payments transferred or attempted to be transferred by the payee in the earlier transaction, the amount of money received by the payee in connection with the previous transaction, and generally the payee's reasons for pursuing or completing a previous transaction.

(Ins. Code §10139.5(c).)

Discussion

Payee became entitled to certain structured settlement payments in an abuse case titled Jane BP1-B Doe, et al. vs. Doe 1, et al., LASC Case No. 22STCV25961 (filed August 11, 2022). (Amended Petition ¶13.) Payee has entered into a transfer agreement with Petitioner ("Transfer Agreement") to transfer those certain structured settlement payments described in Paragraph 5.17 of the Transfer Agreement ("Transferred Payments").[2] (Amended Petition ¶4, Exh. 1.)

The Transfer Agreement states that Payee agrees to sell, transfer, deliver and irrevocably assign to Petitioner and Petitioner's successors and assigns at Closing 4 annual payments of \$43,000.00 due beginning January 1, 2027, through and including January 1, 2030. (Amended Petition ¶4, Exh. 1 at Schedule A.) The net amount paid to Payee would be \$101,019.66. (Amended Petition ¶4, Exh. 1 at Schedule A.) The future structured settlement payments would total one hundred seventy-two thousand dollars (\$ 172,000.00), and Payee's transaction at issue exchanges those payments for the purchase price of one hundred one thousand nineteen dollars and sixty-six cents (\$101,019.66). (Amended Petition ¶5, Exh. 2.) The discounted present value of the amount Payee is selling (the value of Payee's structured settlement in current dollars) is \$155,885.34. (Amended Petition ¶4, Exh. 1 at Addendum to Contract §5.22.) The net amount that Payee

will receive from Petitioner, in exchange for future structured settlement payments represents 64.8 percent of the estimated current value of the payments and is calculated by dividing the net payment amount by the discounted present value of the payments. (Amended Petition ¶5, Exh. 1 at Addendum to Contract §5.25.)

Pursuant to Insurance Code §10136, at least ten days prior to the date that Payee signed the Transfer Agreement, Petitioner provided to Payee, and Payee acknowledged receipt thereof, a separate written disclosure statement, ("Disclosure Statement"), completed with the information which applies to this Transfer Agreement. (Amended Petition ¶5, Exh. 2.)

All of this information has been properly disclosed to Payee by way of the disclosure form in compliance with Insurance Code §10136(b), as required by Insurance Code §10139.5(a)(3). (Amended Petition ¶5, Exh. 2 at pg. 2; Decl. of Payee ¶15.) Payee was also advised in writing to seek independent legal, tax, and financial professional advice. (Amended Petition ¶5, Exh. 2 at pg. 2; Decl. of Payee ¶16.) Payee chose not to seek an independent professional's advice. (Decl. of Payee ¶16.) Therefore, Petitioner has complied with the statutory disclosure requirements in Insurance Code §10139.5(a)(2).

The transfer agreement also complies with Insurance Code §§10136 and 10138 as required by Insurance Code §10139.5(a)(3). The transfer agreement does not contravene any applicable statute or order of any court or other governmental authority. (Ins. Code §10139.5(a)(4).)

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Information
About Payee

First, the Payee is 31 years old. (Amended Petition, Exh. 3 at ¶3.) The Payee resides in Lancaster and provides his address. (Amended Petition, Exh. 3 at ¶2.) Therefore, the petition meets the requirements of Insurance Code §10139.5(c)(1).

Second, the Payee's marital status is single. (Amended Motion, Exh. 3 at ¶4.)

Third, the Payee has no minor children or other dependents. (Amended Petition, Exh. 3 at ¶5.)

Fourth, the Payee is currently unemployed. (Amended Petition, Exh. 3 at ¶6.) Therefore, the petition meets the requirements of Insurance Code §10139.5(c)(4).

Fifth, the Payee does not have any court-ordered child support obligations. (Amended Petition, Exh. 3 at ¶7.) Therefore, the petition meets the requirements of Insurance Code §10139.5(c)(5).

Sixth, the Payee has not previously assigned a portion of his structured settlement payments rights. (Amended Petition, Exh. 3 at ¶12.)

Petitioner has provided all of the information required by Insurance Code §10139.5(c)(6).

Analysis of Transfer

The terms of the proposed Transfer Agreement are as follows:

You have agreed to sell to the transferee future payments totaling one hundred seventy-two thousand and 00/100 (\$172,000.00), in exchange for a purchase price of one hundred one thousand nineteen and 66/100 dollars (\$101,019.66).

Those future payments have a discounted present value equal to one hundred fifty-five thousand eight hundred eighty-five and 34/100 dollars (\$155,885.34), calculated by applying the discount rate of 5.0 percent utilized by the Internal Revenue Service to value annuities in probate proceedings.

The purchase price to be paid to you was calculated using a discount rate of 29.56 percent.

The purchase price payable to you is less than the present value of the future payments stated above because the

discount rate of your transaction is greater than the rate utilized by the Internal Revenue Service.

For comparison purposes:

If you did not sell your right to receive structured settlement payments, but instead borrowed the net amount of \$101,019.66 and paid that loan back in installments with each of the payments you are now selling, the equivalent interest rate you would be paying for that loan would be 29.56% per year.

(Amended Petition, Exh. 2.)

Pursuant to Insurance Code §10139.5(b)(2), Payee intends to use the money he receives from Petitioner to put a down payment on a home and purchase reliable transportation.

(Amended Motion, Exh. 3 ¶11.)

The Court finds the transfer is in the best interest of the Payee. The Court determines the transfer is fair and reasonable his intended use of the funds. The Payee was fully informed of his rights and has knowingly waived independent professional advice regarding the transfer. (Amended Motion, Exh. 3 ¶16.)

Accordingly, Petitioner's petition is granted.

Conclusion

Petitioner's unopposed petition is granted.

Moving
Party to give notice.

Dated: September
_____, 2026

Hon. Daniel M. Crowley

Judge of the Superior

Court

[1] The Court notes Petitioner's First Amended Petition

states that the Petitioner is Datura Capital, LLC. (First Amended Petition at 1:26-27.) The Court assumes this is a copy/paste error.

[2] The Court notes that Section 5.18 of the Addendum to the Contract is the applicable portion.